

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: February 16, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION ON REMAND¹

I. INTRODUCTION

A. Overview and Summary of Decision

This proceeding commenced on August 3, 2021, when the Federal Maritime Commission (“Commission”) issued a Notice of Filing of Complaint and Assignment (“Notice”). The Notice stated that Complainant MCS Industries, Inc. (“MCS Industries”) had filed a complaint alleging violations of the Shipping Act of 1984 (“Shipping Act”) and it required the Commission’s final decision to be issued by February 17, 2023. Shortly thereafter, Respondent COSCO Shipping Lines Co., Ltd. was dismissed due to a settlement.

An Initial Decision on Default (“Initial Decision” or “I.D.”) was issued on January 13, 2023, imposing a default decision against Respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping” or “Mediterranean”) for failing to produce discovery. The Initial Decision explains the basis of the discovery dispute, including the undersigned’s letter of request to Switzerland pursuant to the 1970 Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters. The Judge in Switzerland rejected the request on the ground that this proceeding is administrative and therefore does not fall within the scope of the Hague Convention. I.D. at 2. Nonetheless, Respondent continued to refuse to produce the discovery and, after multiple warnings, a default decision was entered.

On January 3, 2024, the Commission issued an Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings (“Commission Order”). The Commission found that the Initial Decision properly determined that the FMC has jurisdiction over the claims;

¹ This decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

default as a discovery sanction was well-supported by the record; Mediterranean's repeated claims that Swiss law bars it from providing discovery under FMC procedures was properly rejected; D.C. Circuit factors for the evaluation of default as a discovery sanction are present here; and lesser sanctions would not be adequate to address this situation. Commission Order at 2. Therefore, the Commission denied exceptions and affirmed the Initial Decision as to liability; remanded for consideration of whether the "delay sanction" described at 46 U.S.C. § 41302(d) may also support the imposition of default here; and remanded for the submission of evidence sufficient to support the reparations Complainant seeks. Commission Order at 31.

MCS Industries seeks reparations of \$1,152,677 for the difference between the rate it contracted for with MSC Mediterranean Shipping and the rate that it actually paid on the spot market for the shortfall of 422 TEUs from May 2020 to July 2021. MCS Industries submitted a declaration from its only logistics analyst, who verified the amended complaint and who is also the contact person and signatory of the service contracts. MCS Industries also submitted copies of the service contracts, a table listing the shipments on which the reparations claim is based, and freight bills, invoices, and other documents supporting the amounts claimed. MSC Mediterranean Shipping contends that the claim for reparations is inconsistent with prior claims; an oral hearing is required; and MCS Industries has failed to provide competent evidence to justify any reparations award.

As discussed more fully below, the delay sanction is found to be an additional ground for imposing a default decision. Additionally, it is reasonable to calculate actual damages based on the difference between the rates contracted for with MSC Mediterranean Shipping and the actual spot rates MCS Industries paid for shipments during the timeframe and from the port pairs identified in the amended complaint. The evidence provided by MCS Industries is sufficient to support the reparations claims, although only for timeframes and port pairs alleged in the amended complaint. Therefore, reparations claims from December 2021 to April 2022 and one claim for a shipment from Jakarta are found to be outside the scope of the violations alleged in the amended complaint and are excluded from the calculation of reparations. Accordingly, the total reparations ordered is \$861,706.50, plus interest.

B. Background

1. Initial Filings and Initial Decision

On August 3, 2021, the Commission issued a notice stating that MCS Industries had filed a complaint and setting the deadline for an initial decision as August 3, 2022, and the deadline for the Commission's final decision as February 17, 2023.

On August 26, 2021, MSC Mediterranean Shipping filed an answer denying the complaint's allegations and raising defenses.

On September 23, 2021, an initial decision was issued approving the confidential settlement agreement with Respondent COSCO Shipping Lines Co., Ltd.

Also on September 23, 2021, a scheduling order was issued, adopting the parties' proposed schedule and requiring discovery to be completed by January 27, 2022.

On December 8, 2021, an order was issued granting MCS Industries' motion to compel over a dozen different categories of information sought in discovery.

On December 21, 2021, a revised scheduling order was issued requiring discovery to be completed by March 22, 2022, and briefing completed by June 1, 2022.

On February 4, 2022, Complainant's motion seeking leave to file an amended complaint, expanding the timeframe to include the previous May 2020-April 2021 service contract, was granted. In that same order, Respondent's motion to dismiss or for summary disposition was denied, finding that the amended complaint raised plausible violations of the Shipping Act.

On March 4, 2022, an order on proposed revised schedule and discovery notice was filed which required, in relevant part, the parties: to "provide a joint status report addressing the status of discovery, the issues above, and a proposed request for overseas discovery by April 4, 2022" and to continue to exchange discovery in an expeditious fashion. Order on Proposed Revised Schedule and Discovery Notice at 2. On April 4, 2022, the parties filed a joint status report regarding the status of discovery and Swiss discovery issues.

On May 4, 2022, an order granting the request for a letter of request under the Hague Convention was issued, finding that the letter would be "the most appropriate and efficient process" for obtaining discovery, and attaching the letter of request "with minor modifications from the parties' proposal" for MCS Industries to translate and file with the appropriate Swiss authorities. Order Granting Request for Letter of Request under Hague Convention at 1-2.

On July 8, 2022, MCS Industries filed a notice of decision on letter of request with French and English translation of the June 29, 2022, Decision of the Judge in the Republic and Canton of Geneva, civil court, which rejected the request on the ground that this proceeding is administrative and therefore does not fall within the scope of application of the Hague Convention. On July 15, 2022, the parties filed a joint status report.

On July 29, 2022, the Commission issued a notice of extension of time stating that it "determined to extend the deadline for issuance of an initial decision in this proceeding from August 3, 2022, to February 3, 2023" and that "the time for issuance of the Commission's final decision is extended from February 17, 2023, to August 17, 2023." July 29, 2022, Notice at 1.

Also on July 29, 2022, an order was issued requiring MSC Mediterranean Shipping to produce all outstanding discovery by August 29, 2022, including the discovery ordered to be produced in the order granting the motion to compel issued on December 8, 2021. On August 26, 2022, MSC Mediterranean Shipping filed a motion seeking an extension of time and on September 6, 2022, it filed a notice of advice of the Swiss Federal Office of Justice. On September 2, 2022, MCS Industries filed an opposition to the motion for an extension of time.

On September 8, 2022, MSC Mediterranean Shipping was ordered to show cause "why a default decision should not be issued against it for failure to produce discovery." Order Denying Respondent's Motion for an Extension of Time and Order to Show Cause ("OTSC") at 1.

On September 22, 2022, MSC Mediterranean Shipping filed its response to the order to show cause ("OTSC Respondent Response"). On October 6, 2022, MCS Industries filed its

response to the order to show cause (“OTSC Complainant Response”). On October 14, 2022, MSC Mediterranean Shipping filed a reply (“OTSC Respondent Reply”).

On October 18, 2022, MSC Mediterranean Shipping filed a notice labeled as “Notice of Determination of the Swiss Federal Office of Justice that the Procedures of the Hague Evidence Convention Apply to this Proceeding and Must Be Used.” On October 28, 2022, MCS Industries filed a letter objecting to the unsolicited notice.

On November 8, 2022, MSC Mediterranean Shipping filed a notice labeled as “Notice of Issuance of Formal Decision of The Swiss Federal Department of Justice and Police that the Hague Evidence Convention Procedures Apply to this Proceeding and Must Be Used” with a French document and English translation of a decision “of the Federal Department of Justice and Police FDJP,” signed by a “Member of the Federal Council.” Complainant did not respond to the November 8, 2022, filings.

On January 13, 2023, the Initial Decision was issued ordering that “a default decision with prejudice be entered against MSC Mediterranean Shipping because of its willful and deliberate failure to provide discovery” and further ordering that “MSC Mediterranean Shipping pay a total of \$944,655, plus interest from July 31, 2021, in reparations to MCS Industries.” I.D. at 23.

2. Commission Order and Remand Filings

On February 6, 2023, MSC Mediterranean Shipping filed exceptions to the Initial Decision. On February 28, 2023, MCS Industries filed a response to the exceptions.

On August 17, 2023, the Commission issued a second notice of extension of time, stating that “the Commission has determined to extend the deadline for issuance of the final decision in this proceeding from August 17, 2023, to February 16, 2024.” Aug. 17, 2023, Notice at 1.

On January 3, 2024, the Commission issued an Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings. Regarding section 41302(d), the Commission remanded for determination “with the benefit of focused and prompt briefing from the parties, of whether 46 U.S.C. § 41302(d) provides an additional basis to support the imposition of default here.” Commission Order at 27. Regarding reparations, the Commission remanded “for a ‘determination of the amount of reparations’ under 46 C.F.R. § 502.65(c) based on affidavits or documentary evidence that provides adequate detail as to the damages MCS actually suffered for the violations alleged in its operative complaint.” Commission Order at 30 (citing 46 C.F.R. §§ 502.251 (Proof on award of reparation); 46 C.F.R. § 502.252 (Reparation statements)).

On January 4, 2024, a remand scheduling order was issued. On January 19, 2024, MCS Industries filed its remand brief, exhibits, and a motion for confidential treatment. On February 5, 2024, Mediterranean Shipping filed its remand opposition brief, exhibits, and a motion for confidential treatment.

C. Request for Confidential Treatment

Both parties filed requests for confidential treatment. Neither party objected to the other party's request for confidential treatment. Confidential treatment is sought for service contracts, service contract terms, non-public competitive pricing data, third-party invoices containing non-public competitive pricing and cost data, and other confidential business information.

Commission Rule 5 authorizes confidential treatment for confidential commercial information. The parties' requests for confidential treatment are narrowly tailored, excluding just a few lines from their briefs and specific exhibits or pages of exhibits. Accordingly, both motions requesting confidentiality are **GRANTED**. "Treating information as confidential does not affect the Commission's or the ALJ's ability to rely on that information to decide the claims." *Intermodal Motor Carriers Conference v. OCEMA*, Docket No. 20-14, 2024 WL 641501, at *7 n.12 (FMC Feb. 14, 2024) (citing 46 C.F.R. § 502.5(c)).

Neither party included sequential Bates numbers on their exhibits. However, each exhibit is clearly labeled with an exhibit number and within each exhibit there is a unique number sufficient to identify the page cited. For example, MCS Industries' table in Exhibit 4 lists the Exhibit 5 Bates numbers, which start with PEX5, so that the Exhibit 5 documents supporting each row of the table can be quickly and easily located. Moreover, the documents in Exhibit 5 are well-organized as they are arranged chronologically, shipment by shipment. Therefore, the exhibits will be accepted as submitted.

II. ANALYSIS AND CONCLUSIONS OF LAW

A. Arguments of the Parties

Complainant MCS Industries asserts that MSC Mediterranean Shipping's undue delays in this action constitute an additional independent basis under 46 U.S.C. § 41302(d) for the decision on default and that the declaration and exhibits accompanying their brief provide detailed evidence of the ocean freight costs underlying MCS Industries' request for reparations of \$1,152,677. Brief at 1-6.

Respondent MSC Mediterranean Shipping contends that MCS Industries has failed to provide competent evidence to justify any reparations award and that 46 U.S.C. § 41302(d) provides no basis for a default finding. Opposition at 2-15.

B. Discussion

The Commission remanded only two narrow issues: (1) whether the delay sanction provision at 46 U.S.C. § 41302(d) is an additional basis to support default in this case and (2) the submission of evidence sufficient to support the claimed reparations. Commission Order at 25-30. The delay sanction will be discussed prior to addressing reparations. Each discussion includes the relevant law, arguments of the parties, and analysis.

1. Delay Sanction

a. Relevant Law

The Commission remanded for consideration of whether the delay sanction provided at 46 U.S.C. § 41302(d) is an additional basis to support default in this case. Commission Order at 25. Section 41302(d) states:

Sanctions for Delay. - If, within the period for final decision under subsection (c), the Commission determines that it is unable to issue a final decision because of undue delay caused by a party to the proceeding, the Commission may impose sanctions, including issuing a decision adverse to the delaying party.

46 U.S.C. § 41302(d).

The Commission stated:

This provision authorizes what would amount to a default sanction if the Commission determines that a party's "undue" delay has caused the agency to be unable to issue a final decision within the period it has set to do so. Section 41302(c) specifically applies to final decision periods in proceedings initiated under "this section or section 41301," and section 41301 is the "Complaints" section describing the initial procedure for adjudications. This makes it clear that section 41302(d), which specifically applies to final decision periods established under section 41302(c), also applies to adjudications like the current case.

In this case, the deadline for final decision has been extended twice, resulting in a delay of almost one full year. The Secretary's initial Notice in August 2021 set a deadline for the final decision of February 17, 2023. FMC Docket No. 21-05, Doc. 2. The ALJ's First Order, which Mediterranean neither appealed nor complied with, was issued in December 2021. The ALJ's Second Order, which Mediterranean neither appealed nor complied with, was issued on July 29, 2022. On that same day, the Secretary extended the final decision deadline to August 17, 2023. FMC Docket No. 21-05, Doc. 49. In September 2022, the ALJ issued the Third Order, which offered Mediterranean the option of simply producing the outstanding discovery in lieu of responding to the order to show cause. Mediterranean chose to resist the order, with several filings in late 2022. In January 2023, the ALJ issued the Initial Decision on Default, and Mediterranean filed Exceptions in February 2023. In August 2023, the Secretary again extended the final decision deadline, this time to February 16, 2024. FMC Docket No. 21-05, Doc. 67.

In this situation, imposing the sanction of default for the delay Mediterranean has caused may well be appropriate under 46 U.S.C. § 41302(d). Mediterranean's repeated failures to comply with discovery orders appear to have been the primary, if not the exclusive, cause of the two extensions which currently have set the final decision deadline back about a year, to February 2024. Obviously, the Commission cannot now issue a final decision by the initial deadline of February

2023, nor by the second deadline of August 2023. The Decision at issue here did not discuss the effect of Mediterranean's delay on the final decision deadline specifically. But the ALJ did discuss the effects of that delay at some length in explaining how it prejudiced the complainant (first *Webb* factor), noting that it "significantly delayed this proceeding." Decision at 19. And she returned to the subject in finding that Mediterranean's conduct had prejudiced the adjudication system (second *Webb* factor), describing the failure to meet a number of deadlines, which "caus[ed] multiple revisions of the schedule to accommodate the delays." *Id.* at 20. It may be that Mediterranean's failure to produce the discovery ordered was not the sole cause of the first extension of the final decision deadline in July 2022, since MCS and the ALJ did sign off on the initial effort to get documents from the Swiss court using a Hague Convention procedure in the preceding few months. But regardless, it seems likely that Mediterranean's failure to comply with the Second Order, also issued in July 2022, eliminated any chance of meeting the original February 2023 deadline for a final decision, and Mediterranean's continued resistance to producing the discovery also made the August 2023 deadline impossible to meet.

At a minimum, 46 U.S.C. § 41302(d) merits careful consideration because it reflects clear Congressional concern that causing undue delay to FMC proceedings may well merit the most extreme sanction: a "decision adverse to the delaying party." That concern may support the imposition of the default at issue here even if that result is based primarily on the discovery sanctions described in 46 C.F.R. § 502.150(b).

Commission Order at 25-27.

b. Arguments of the Parties

MCS Industries argues that: "since late November 2021, and well past that initial August 3, 2022 deadline, virtually every filing in this action was a direct result of Mediterranean's failure to comply with its discovery obligations;" Mediterranean belatedly raised the Swiss legal issue; Mediterranean's discovery-related delays necessitated extensions of deadlines by the Commission; and the procedural history of this action clearly supports sanction pursuant to Section 41302(d) and a decision on default against Mediterranean. Brief at 2-4.

MSC Mediterranean Shipping contends that: Congress did not intend Section 41302(d) to apply to litigation pauses caused by a foreign blocking statute; MSC has engaged in good faith efforts to expedite this case; and the extensions of time in this case are not unusual in civil complaint proceedings before the Commission. Opposition at 11-15.

c. Analysis

The question posed by section 41302(d) is whether the Commission was "unable to issue a final decision because of undue delay caused by a party to the proceeding." 46 U.S.C. § 41302(d). If so, the Commission "may impose sanctions, including issuing a decision adverse

to the delaying party.” *Id.* The parties did not identify, and the undersigned has not located, any decisions invoking this delay sanction.

All parties appearing in Commission proceedings are entitled to due process. Moreover, as MSC Mediterranean Shipping points out, not all Commission cases are resolved within the initial deadlines imposed by the Commission. To violate this section, the delay must be “undue.” For example, MCS Industries’ filing of an amended complaint almost five months into the proceeding could have delayed the proceeding. However, as explained in the order permitting the amended complaint, “allowing the amendment would ‘be more efficient and cost-effective than filing a new, separate complaint against Respondent, and would allow the overlapping issues to be addressed in a streamlined fashion.’” Order on Motion to Amend Complaint and Motion to Dismiss at 2 (citing Complainant’s motion). Therefore, any delay caused by filing of the amended complaint would not be undue.

MSC Mediterranean Shipping had a right to vigorously defend itself and the undersigned agreed to issue a letter of request under the Hague convention. It was not until Mediterranean failed to comply with the July 29, 2022, order requiring production of documents, after the decision from the Judge in Switzerland was received, that Mediterranean’s delay providing discovery became undue. Moreover, that order explained the consequences of further delays, stating:

Respondent MSC Mediterranean Shipping is alleged to be one of the largest container lines in the world. It has voluntarily chosen to conduct business in United States ports and is regulated by the Federal Maritime Commission. Respondent has opposed providing relevant discovery which it was ordered to produce in the order granting motion to compel. It has delayed the proceeding by insisting that Swiss law prohibits discovery disclosure. But, parties appearing before the Commission are entitled to relevant evidence needed to adjudicate the proceeding. Failure to provide discovery may result in procedural sanctions, from an inference that the discovery would have been adverse to Respondent’s interests to a decision on default.

Order Requiring Production of Discovery at 4 (citations omitted). MSC Mediterranean Shipping was again warned in the OTSC that failure to produce the required discovery could result in sanctions including a decision on default. OTSC at 1-2.

Although the title of section 41302 is “Investigations,” it applies to complaint proceedings, as explained by the Commission.

Section 41302(c) specifically applies to final decision periods in proceedings initiated under “this section or section 41301,” and section 41301 is the “Complaints” section describing the initial procedure for adjudications. This makes it clear that section 41302(d), which specifically applies to final decision periods established under section 41302(c), also applies to adjudications like the current case.

Commission Order at 25.

This delay sanction is not in tension with section 41108(c)(2)'s approach to international discovery disputes, as argued by MSC Mediterranean Shipping, because legitimate discovery disputes are not "undue." Here, the international discovery dispute was heard and resolved by both the undersigned, compelling the discovery, and the court in Switzerland, rejecting the request as outside the scope of the Hague Convention. Only when MSC Mediterranean Shipping refused to comply with the July 29, 2022, order requiring production of documents, after the decision from Switzerland was received, did the delay become undue. Therefore, delays after July 29, 2022, unduly delayed this proceeding. Notably, MSC Mediterranean Shipping made six filings after this date: August 26, 2022, Motion for an Extension of Time; September 6, 2022, Notice of Advice; September 22, 2022, OTSC Respondent Response; October 14, 2022, OTSC Respondent Reply; October 18, 2022, Notice of Determination; and November 8, 2022, Notice of Formal Decision. None of these filings indicated a willingness to produce the discovery ordered. Rather than comply with the rulings of the undersigned and the Swiss court, "Mediterranean appears to have gone around the court to the Swiss executive branch, looking for a different answer." Commission Order at 21. Indeed, Mediterranean continues to argue that it should not be required to produce the discovery, even after the Commission has also rejected its arguments.

Not only were the delays undue, but they were caused by MSC Mediterranean Shipping. Indeed, if the decision on default had not been issued, the case might still be pending as it was effectively at an impasse. Mediterranean failed to produce over twelve categories of discovery relevant to MCS Industries' claims, which were necessary to proceed to a decision on the merits. I.D. at 18. Therefore, without the decision on default, it would not have been possible for the Commission to issue a final decision. Moreover, the undue delays prevented the Commission from meeting its August 17, 2023, final decision deadline.

Given the delays caused by Mediterranean's refusal to provide discovery, a sanction under section 41302(d) is appropriate. This provision authorizes a sanction up to "issuing a decision adverse to the delaying party." 46 U.S.C. § 41302(d). For the reasons outlined in the Initial Decision and Commission Order, a lesser sanction would not be effective. I.D. at 19; Commission Order at 22-23. Therefore, the delay sanction in section 41302(d) is found to be an additional basis for imposition of a decision adverse to MSC Mediterranean Shipping and an award of reparations.

2. Reparations

a. Relevant Law

The Commission also remanded for "a 'determination of the amount of reparations' under 46 C.F.R. § 502.65(c) based on affidavits or documentary evidence that provides adequate detail as to the damages MCS actually suffered for the violations alleged in its operative complaint. *See also* 46 C.F.R. §§ 502.251 (Proof on award of reparation); 502.252 (Reparation statements)." Commission Order at 30.

The Commission relied on the Federal Rules, stating that "where the damages claimed are of that less certain nature, the general rule for courts applying the analogous Federal Rule 55

is that even where a default judgment is to be entered, the plaintiff must provide evidence to justify a damages award.” Commission Order at 28.

Federal courts allow damages based on detailed affidavits or documentary evidence. For example:

Although the Court’s entry of default against an absent defendant establishes the defendant’s liability, the Court is required to make an “independent determination of the sum to be awarded.” Accordingly, Plaintiff must prove its entitlement to the amount of monetary damages requested. “In ruling on such a motion, the court may rely on detailed affidavits or documentary evidence to determine the appropriate sum for the default judgment.”

GAG Enterprises, Inc. v. Rayford, 312 F.R.D. 230, 234 (D.D.C. 2015) (citations omitted).

The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Pursuant to Commission Rule 65(c), the “presiding officer may require additional information or clarification when needed to issue a decision on default, including a determination of the amount of reparations or civil penalties where applicable.” 46 C.F.R. § 502.65(c).

Commission Rules provide additional guidance regarding proof for an award of reparations.

If many shipments or points of origin or destination are involved in a proceeding in which reparation is sought (See § 502.63), the Commission will determine in its decision the issues as to violations, injury to complainant, and right to reparation. If complainant is found entitled to reparation, the parties thereafter will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding reparation is entered. In such cases, freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced at the original hearing unless called for or needed to develop other pertinent facts.

46 C.F.R. § 502.251 (Proof on award of reparation).

When the Commission finds that reparation is due, but that the amount cannot be ascertained upon the record before it, the complainant shall immediately prepare a statement in accordance with the approved reparation statement in Exhibit No. 1 to this subpart, showing details of the shipments on which reparation is claimed. This statement shall not include any shipments not covered by the findings of the Commission. Complainant shall forward the statement, together with the paid freight bills on the shipments, or true copies thereof, to the respondent or other person who collected the charges for checking and certification as to accuracy. Statements so prepared and certified shall be filed with the Commission for consideration in determining the amount of reparation due. Disputes concerning

the accuracy of amounts may be assigned for conference by the Commission, or in its discretion referred for further hearing.

46 C.F.R. § 502.252 (Reparation statements).

Complainants have the burden of proving entitlement to reparations.

As the Federal Maritime Board explained long ago: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.”

James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist., 30 S.R.R. 8, 13 (FMC 2003) (quoting *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (1950)).

Reparations will only be awarded based on actual damages. *Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co.*, Docket No. 81-57, 26 S.R.R. 788, 798 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992. Actual damages means “compensation for the actual loss or injuries sustained by reason of the wrongdoing.” *Cal. Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 25 S.R.R. 1213, 1230, 1990 WL 427466, at *23 (FMC Oct. 19, 1990). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022).

b. Arguments of the Parties

MCS Industries asserts that it seeks “reparations equaling amounts in excess of its service contract rates with Mediterranean that Complainant had to spend during the terms of those service contracts on non-service-contract-based purchases of ocean carriage in order to ship cargo between port pairs covered by its service contracts with Mediterranean.” Brief at 4. MCS Industries relies on the declaration under penalty of perjury of its logistics analyst and detailed exhibits, including: the relevant service contracts (Brief, Exhibits 1-3); a table listing: the Bates number of the supporting documents, contract year, intermediary, container number, origin, destination, vessel/voyage, year and month of the shipment, number of TEUs, ocean freight cost, contract rate, and excess cost (Brief, Exhibit 4); and freight bills, sea waybills, invoices, and other documents supporting the amounts claimed (Brief, Exhibit 5).

MSC Mediterranean Shipping contends that: Complainant is required to support its claim of reparations with competent evidence, and MSC is entitled to challenge that evidence with its own evidence and to a hearing at which it can cross-examine Complainant’s affiant; Complainant’s evidence does not support its reparations claim; Complainant’s unsupported claim for reparations is inconsistent with claims it has made previously; Complainant’s affiant has no personal knowledge as to the period of the original complaint; and Complainant’s reparations claims should be denied for failure of proof; alternatively, MSC is entitled to a hearing to cross-examine Complainant’s affiant and challenge its evidentiary showing. Opposition at 2-11.

c. Analysis

In its amended complaint, MCS Industries sought an FMC investigation; an order finding violations of the Shipping Act; a cease-and-desist order applicable to the remaining term of the 2021 service contract; reparations with interest, reasonable attorneys' fees, and "any other sum the FMC determines to be proper;" and other relief as the FMC deems just and proper. Amended Complaint at 24-25 ¶¶ 1-5. The only relief granted in the Initial Decision was reparations.

Federal courts have discussed determination of damages in the case of default.

A defaulting defendant is deemed to admit every well-pleaded allegation in the complaint. *Trans World Airlines, Inc. v. Hughes*, 449 F.2d 51, 63 (2d Cir.1971), *rev'd on other grounds*, 409 U.S. 363, 93 S.Ct. 647, 34 L.Ed.2d 577 (1973). Although the default establishes a defendant's liability, the court is required to make an independent determination of the sum to be awarded unless the amount of damages is certain. *Adkins v. Teseo*, 180 F.Supp.2d 15, 17 (D.D.C.2001); *Chudasama v. Mazda Motor Corp.*, 123 F.3d 1353, 1364 n. 27 (11th Cir.1997); *SEC v. Mgmt. Dynamics, Inc.*, 515 F.2d 801, 814 (2d Cir.1975). Moving for a default judgment, the plaintiff must prove its entitlement to the requested damages. *Oberstar v. FDIC*, 987 F.2d 494, 505 n. 9 (8th Cir.1993). In ruling on such a motion, the court may rely on detailed affidavits or documentary evidence to determine the appropriate sum for the default judgment. *United Artists Corp. v. Freeman*, 605 F.2d 854, 857 (5th Cir.1979). When the damages cannot be calculated with relative simplicity, however, the court may order an evidentiary hearing. *Cablevision Sys. New York City Corp. v. Lokshin*, 980 F.Supp. 107, 111-12 (E.D.N.Y.1997). Finally, the movant is entitled to all reasonable inferences from the evidence offered. *Au Bon Pain Corp. v. Arctect, Inc.*, 653 F.2d 61, 65 (2d Cir.1981).

Flynn v. Mastro Masonry Contractors, 237 F. Supp. 2d 66, 69 (D.D.C. 2002).

Thus, the question is whether MCS Industries has properly supported its reparations claim. MCS Industries explains its request for reparations:

As detailed in the Declaration and its exhibits (and consistent with the allegations in MCS Industries' Verified Amended Complaint in this action), MCS Industries' service contracts with Mediterranean for the periods May 2020-April 2021 (the "2020 Service Contract") and May 2021-April 2022 (the "2021 Service Contract" and, collectively with the 2020 Service Contract, the "2020 and 2021 Service Contracts") set minimum quantity commitments ("MQCs") of 1,400 twenty-foot equivalent units ("TEUs") and 728 TEUs, respectively. See Decl. ¶¶ 4-5, 7-8 & Exs. 1-3. However, despite MCS Industries' intent to use the full volumes of cargo space for which it contracted with Mediterranean in the 2020 and 2021 Service Contracts, see Decl. ¶¶ 6, 9, 14, and despite the efforts of MCS Industries and its logistics agent, Expeditors International of Washington, Inc. ("Expeditors") to attempt to book space with Mediterranean pursuant to the 2020 and 2021 Service Contracts (and repeated complaints to Mediterranean regarding its failure to

provide contracted space), Mediterranean carried only approximately 1,101 TEUs of MCS Industries' cargo during the term of the 2020 Service Contract and only approximately 492 TEUs of MCS Industries' cargo during the term of the 2021 Service Contract. *See* Decl. ¶¶ 10-13.

Exhibit 4 to the Declaration lists the details of shipments of containers of MCS Industries cargo that were carried during the terms of the 2020 and 2021 Service Contracts between the port pairs covered by the 2020 and 2021 Service Contracts, respectively, pursuant to arrangements with ocean transportation intermediaries or suppliers (and not pursuant to the 2020 and 2021 Service Contracts or a service contract between MCS Industries and another vessel-operating common carrier) in order to meet MCS Industries' ocean shipping needs. *See* Decl. ¶¶ 15-18 & Ex. 4. Exhibit 5 compiles the invoices for those shipments for the Presiding Officer's reference. *See* Decl. Ex. 5.

As reflected in Exhibit 4, the ocean freight costs for the shipments listed in Exhibit 4 during the term of the 2020 Service Contract, totaling 299 TEUs, exceeded Mediterranean's rates for such carriage in the 2020 Service Contract by a total of \$400,509. *See* Decl. ¶ 16 & Ex. 4. The ocean freight costs for the shipments listed in Exhibit 4 stemming from the time period that was the focus of the initial Verified Complaint in this action (i.e., May through July 2021), totaling 123.5 TEUs, exceeded Mediterranean's rates for such carriage in the 2021 Service Contract by a total of \$463,936. *See* Decl. ¶ 17 & Ex. 4. The ocean freight costs for the shipments listed in Exhibit 4 that were carried later in the term of the 2021 Service Contract (specifically, during December 2021 through April 2022—the remainder of the term of the 2021 Service Contract starting with the month in which MCS Industries sought leave to file its Verified Amended Complaint in this action), totaling an additional 112.25 TEUs, exceeded Mediterranean's rates for such carriage in the 2021 Service Contract by a total of \$288,232. *See* Decl. ¶ 18 & Ex. 4.

In total, Exhibit 4 to the Declaration reflects shipments of MCS Industries cargo carried during the terms of the 2020 and 2021 Service Contracts between the port pairs listed in the 2020 and 2021 Service Contracts that cost MCS Industries a total of \$1,152,677 more than such shipments would have cost under the rates in the 2020 and 2021 Service Contracts. Decl. ¶ 19 & Ex. 4. MCS Industries respectfully submits that this evidence is more than sufficient to justify the Presiding Officer's award of reparations in this action, especially given that the reparations are being awarded as a sanction.

Brief at 4-6.

MCS Industries' reparations claim will be reviewed to determine whether it is consistent with previous claims; whether an oral hearing is necessary; and whether there is competent evidence of the reparations sought.

i. Previous Claims

In its amended complaint, MCS Industries claims damages of “at least \$400,000 more” for “299 TEUs on the relevant lanes via the spot market or from other carriers at significantly increased prices” than set forth in the 2020 service contract. Amended Complaint at 24 ¶ 119. In addition, MCS Industries claimed “at least \$400,000 more” for “123 TEUs on the relevant lanes via the spot market or from other carriers at significantly increased prices” than set forth in the 2021 service contract for the first three months of the 2021 service contract. Amended Complaint at 24 ¶ 120.

The order to show cause required MSC Mediterranean Shipping to show cause why a default decision should not be issued against it for failure to produce discovery, and also stated that “Complainant should identify the dollar amount of reparations that they are seeking.” OTSC at 2. MCS Industries’ response addressed the reparations it was seeking, stating:

The Presiding Officer’s Order to Show Cause instructed Complainant to provide in this response the amount of reparations that Complainant is seeking in this action. As detailed in its Amended Complaint, Complainant seeks reparations for actual damages that it incurred in connection with the period May 2020 through July 2021, which encompasses the 2020-2021 “shipping year” and the first three months of the 2021-2022 “shipping year”. Complainant is seeking reparations equaling amounts in excess of its service contract rates with Mediterranean that Complainant had to spend on “spot market” purchases of ocean carriage in order to ship cargo between port pairs covered by its service contracts with Mediterranean that should have been carried by Mediterranean at service contract rates. For the 2020-2021 shipping year, Complainant has calculated such reparations for Mediterranean’s shortfall to total \$480,719. For the first three months of the 2021-2022 shipping year, Complainant has calculated such reparations for Mediterranean’s shortfall to total \$463,936, for a grand total of \$944,655 in reparations sought, plus interest pursuant to 46 U.S.C. Section 41305(a).

OTSC Complainant Response at 18-19.

In its remand brief, MCS Industries seeks a total of \$1,152,677, calculated by adding \$400,509 for 299 TEUs in the 2020 service contract, plus \$463,936 for 123.5 TEUs for May through July 2021 (first three months of the 2021 service contract), and adding \$288,232 for 112.25 TEUs for the remainder of the 2021 service contract. Thus, MCS Industries is seeking \$864,445 for the two time periods addressed in the amended complaint, May 2020 to July 2021, and a total of \$1,152,677 for all three time periods.

MSC Mediterranean Shipping objects to the additional \$288,232 for December 2021 to April 2022, arguing that MCS Industries “did not include this amount in its own reparations calculation produced in discovery, in any brief filed in this proceeding, or in its prior reparations submissions relied on in the Initial Decision.” Opposition at 8.

Federal Rule 54(c) regarding judgments states that a “default judgment must not differ in kind from, or exceed in amount, what is demanded in the pleadings.” Fed. R. Civ. P. 54(c). However, courts have awarded ongoing damages when parties were on notice of the ongoing nature of the damages. For example:

Where a complaint demands a specific amount of damages *and* unspecified additional amounts, ... so long as a defendant has notice that additional unspecified damages may be awarded if the case proceeds to judgment, general allegations in the complaint may suffice to support default judgment in an amount that is proven, either by way of exhibits, affidavits, and other documentation in support of a motion for default judgment, or at a hearing. *Tr. of the Nat'l Automatic Sprinkler Indus. Welfare Fund v. Harvey*, No. GJH-15-521, 2016 WL 297425, at *5 (D. Md. Jan. 21, 2016) (emphasis in original). Indeed, “the purpose of Rule 54(c)’s prohibition on damages that ‘exceed in amount’ or ‘differ in kind’ from that sought in the complaint is to allow the defendant to be able to ‘decide on the basis of the relief requested in the original pleading whether to expend the time, effort, and money necessary to defend the action.’” *Id.* (quoting 10 Charles Alan Wright & Arthur R. Miller, *Federal Practice and Procedure* § 2663 (3d ed. 1998)). Thus, Rule [54(c)] “does not preclude an award of damages that accrued during the pendency of the action [where] such damages were explicitly requested in the complaint, and sufficiently established by the affidavits submitted by plaintiffs.” *Id.* (quoting *Ames v. STAT Fire Suppression, Inc.*, 227 F.R.D. 361, 362 (E.D.N.Y. 2005)). In those circumstances, a defendant is “put on notice that [the] plaintiff was seeking such damages when defendant was served with the complaint” and “[t]hat notice was renewed when defendant was served with [the plaintiff’s] motion for default judgment....” *Id.* (quoting *Ames*, 227 F.R.D. at 362).

Nat’l Elec. Benefit Fund v. Allran/Hemmer Elec., LLC, No. GJH-16-1184, 2017 WL 1273922, at *3 (D. Md. Jan. 6, 2017); *see also CMA CGM S.A. v. Ocean Line Logistics Inc.*, No. 220CV06210FWSRAO, 2022 WL 3009461, at *7 (C.D. Cal. June 3, 2022) (awarding additional daily fees that have accrued per container per day and updated import surcharges where the first amended complaint made clear that contractual damages were ongoing); *Stafford v. Jankowski*, 338 F. Supp. 2d 1225, 1228-29 (D. Kan. 2004) (due process concerns were satisfied where requested damages were included in motion for a default judgment).

As of October 6, 2022, when MCS Industries filed its OTSC response, MSC Mediterranean Shipping was on notice that MCS Industries sought \$944,655 in reparations for the two time periods addressed in the amended complaint. When MSC Mediterranean Shipping made the decision not to provide the discovery required, it was not on notice of the amount of the claim for damages *after* the first three months of the 2021 service contract period. Therefore, even though the amended complaint indicated that the violation was ongoing, because the amount of damages from December 2021 to April 2022 was not provided prior to the Initial Decision, that amount is now not recoverable.

This determination is made based on the notice provided, not, as argued by MSC Mediterranean Shipping, on the basis of information provided in discovery. *See, e.g.*, Opposition at 8-9. Discovery was not completed because of MSC Mediterranean Shipping’s refusal to

provide discovery and the issue of liability was resolved by the default. The defaulting party is “deemed to admit every well-pleaded allegation in the complaint.” *Boland v. Providence Constr. Corp.*, 304 F.R.D. 31, 35 (D.D.C. 2014); *Herbin v. Seau*, 317 F. Supp. 3d 568, 573 (D.D.C. 2018).

MSC Mediterranean Shipping was on notice of the reparations claims for the time periods covered in the amended complaint. As noted above, the amended complaint sought “at least \$400,000” for both the 2020 and 2021 service contract periods. In response to the OTSC, the amount requested was increased to \$480,719 for the 2020 service contract, plus \$463,936 for the beginning of the 2021 service contract for a total of \$944,655. This is the maximum amount that MCS Industries can recover because it is the amount for which MSC Mediterranean Shipping was on notice when deciding whether to provide the discovery in response to the OTSC, prior to the Initial Decision.

This finding is consistent with the Commission Order which states:

Mediterranean claims that the reparations award was improper because the amounts MCS sought in response to the order to show cause were about 20% more than those in the amended complaint, Exceptions at 49-50, but that claim is unconvincing. The operative complaint here simply alleged that Mediterranean’s misconduct had resulted in MCS paying “at least \$400,000” more for each of the two shipping years in question, plus unspecified “other injuries.” Decision at 22-23; Amended Complaint at 24. Then, in providing more detail in response to the order to show cause, MCS listed amounts of \$480,719 and \$463,936 for the two years, amounts that are consistent with the earlier “at least” caveat. A reparations award would not be improper because of this relatively modest change.

Commission Order at 30.

MCS Industries now seeks \$400,509 for the 2020 service contract, plus \$463,936 for the first three months of the 2021 service contract. The amount sought for the 2020 service contract has decreased and the amount sought for the beginning of the 2021 service contract is the same as the amounts MCS Industries requested in its OTSC response. The next questions are whether an oral hearing is necessary and whether these amounts alleged during these two time periods are supported by competent evidence. Because the \$288,232 for the remainder of the 2021 service contract is excluded here, it is not discussed further below.

ii. Oral Hearing

MSC Mediterranean Shipping asserts that the reparations claims should be denied for failure of proof; or alternatively, that it is entitled to an oral hearing to cross-examine the affiant and challenge the evidentiary showing. Opposition at 10-11.

An oral hearing is permitted but not required by Federal courts when determining damages in a default. “The court may conduct a hearing regarding the scope of damages, Fed. R. Civ. P. 55(b)(2), but is not required to ‘as long as it ensure[s] that there [is] a basis for the damages specified in the default judgment.’” *Boland v. Providence Constr. Corp.*, 304 F.R.D. 31, 35-36 (D.D.C. 2014) (quoting *Elite Terrazzo Flooring*, 763 F.Supp.2d at 67 (alterations in

original) (quoting *Transatlantic Mar. Claims Agency, Inc. v. Ace Shipping Corp., Div. of Ace Young Inc.*, 109 F.3d 105, 111 (2d Cir.1997))).

In Commission proceedings, reparations are typically awarded without an oral hearing. Pursuant to the Commission's Rules, in determining the amount of reparations, the Commission may rely on "freight bills and other exhibits bearing on the details of all shipments" and "paid freight bills." 46 C.F.R. §§ 502.251, 502.252. Rule 251 states that in Commission proceedings where the complainant is found entitled to reparation, the parties may be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due. "In such cases, freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced at the original hearing unless called for or needed to develop other pertinent facts." 46 C.F.R. § 502.251. Rule 252 states that when "the Commission finds that reparation is due, but that the amount cannot be ascertained upon the record before it," the complainant shall "prepare a statement . . . showing details of the shipments on which reparation is claimed" and the "statement, together with the paid freight bills on the shipments" shall be forwarded to the respondent "for checking and certification as to accuracy. . . . Disputes concerning the accuracy of amounts may be assigned for conference by the Commission, or in its discretion referred for further hearing." 46 C.F.R. § 502.252.

Ms. Montesano's declaration is consistent with Commission Rules, and attaches the relevant service contracts (Brief, Exhibits 1-3); a statement (in this case a table) listing: the page number of the Exhibit 5 documents supporting the charge, contract year, intermediary, container number, origin, destination, vessel/voyage, year and month of the shipment, number of TEUs, the actual ocean freight cost, the contract rate, and the excess cost for each spot rate shipment (Brief, Exhibit 4); and, freight bills and other documents supporting the amounts claimed for each shipment (Brief, Exhibit 5). While Commission Rules permit further hearing, such hearing is not required and is unnecessary to resolve the two remanded issues. Indeed, Commission Rules specifically state that the "presiding officer will determine whether an oral hearing is necessary." 46 C.F.R. § 502.62(a)(5).

MSC Mediterranean Shipping had an opportunity to depose key MCS Industries witnesses. To the extent that Mediterranean's discovery was not complete, that was caused by its own actions and refusal to provide discovery. Additionally, an oral hearing was not scheduled for resolution of the proceeding, including liability and reparations, as shown by the December 21, 2021, Revised Scheduling Order, which provided deadlines and requirements for submitting briefs and documentary evidence. Revised Scheduling Order at 1-3.

The evidence submitted by MCS Industries is sufficient to determine its actual injury. An oral hearing would only delay resolution of the proceeding further and is not necessary for a decision on the two issues remanded. Therefore, the request for an oral hearing is denied.

iii. Competent Evidence

MSC Mediterranean Shipping contests the evidence on numerous, often overlapping, bases. These are addressed below while evaluating the (a) affiant, (b) shipping rate differentials, (c) port pairs, (d) timing, (e) number of shipments, and (f) conclusions.

(a) Affiant

MSC Mediterranean Shipping asserts that MCS Industries' affiant does not have personal knowledge because she was on maternity leave from May 9 to August 9, 2021, and "not engaged in day-to-day operations during her leave of absence" and because she relies on the booking agents' actions in asserting that they "'diligently' attempted to book space with MSC during that period." Opposition at 9; *see also* Opposition, Exhibit 1, Schantzenbach Depo. at 21, 37.

MCS Industries relies on a declaration signed by its logistics analyst, Brittany Montesano. On May 5, 2020, Ms. Montesano signed the 2020 service contract on behalf of MCS Industries and she is listed as the contact person. Brief, Exhibit 1 at 7, 10. On June 22, 2020, Ms. Montesano signed the amendment to the 2020 service contract on behalf of MCS Industries and is listed as the contact person. Brief, Exhibit 2 at 7, 10. On April 13, 2021, Ms. Montesano signed the 2021 service contract on behalf of MCS Industries and is listed as the contact person. Brief, Exhibit 3 at 7, 10. On December 23, 2021, Ms. Montesano signed the verification for the amended complaint under penalty of perjury. On January 18, 2024, Ms. Montesano signed the declaration under penalty of perjury. The amended complaint and declaration are consistent with Commission requirements for verification of documents. 46 C.F.R. § 502.6.

Ms. Montesano states in her declaration that she has been a logistics analyst with MCS Industries since January 2016 and that she read and verified the amended complaint in this action. Brief, Montesano Decl. at 1. The deposition testimony in the record further establishes that she is the only logistics analyst at MCS Industries. Opposition, Exhibit 1, Schantzenbach Depo. at 18. It is clear from the declaration, exhibits, and deposition transcripts in the record that Ms. Montesano had personal knowledge, including from review of corporate records, of the basis for the reparations claim.

MCS Industries and Ms. Montesano do not need to provide factual evidence supporting liability—that was resolved by the default. Rather, Ms. Montesano's affidavit is used to provide context for MCS Industries' claim for reparations. The reparation claim is focused on the number of shipments contracted for, the number provided, and the cost of obtaining alternate shipping on the spot market. Ms. Montesano did not need to be present when each shipment occurred, and her knowledge may include shipments that occurred while she was on maternity leave. As the only logistics analyst for MCS Industries and the contact person and signatory of the service contracts, she is an appropriate affiant for the question of reparations. Moreover, the statements in her declaration and the spot market rates in the Exhibit 4 table are all established by contemporaneous documents such as freight bills, sea waybills, and invoices which support the claimed reparations.

(b) Shipping Rate Differential

MSC Mediterranean Shipping argues:

The submission is simply a calculation as to a claimed amount based on unexplained invoice charges presented without any context. This is essentially the same showing Complainant made before the Initial Decision and which the Commission found inadequate: unsubstantiated allegations of damages based on

the difference between spot market rates and contract rates for cargo that Complainant has never tied to MSC or to its claims that MSC failed to carry cargo that it was contractually obligated to carry.

Opposition at 4. This is incorrect on multiple levels.

MCS Industries has consistently alleged that its damages included the increased cost of shipping on the spot market above the prices it would have received under the service contracts for the shortfall of 422 TEUs from May 2020 to July 2021. Amended Complaint at 23-24 ¶¶ 119-121; OTSC Complainant Response 18-19; Brief at 4-6. However, MCS Industries now supports that claim with a declaration, the service contracts, a table of shipments made under spot rates, and over 700 pages of supporting documents such as freight invoices. The Commission did not find the declaration and exhibits inadequate – rather, they did not see them. Moreover, the Commission did not find that calculating reparations based on the difference between spot market rates and contract rates is inadequate.

Mediterranean asserts that MCS Industries has not established that “the reparations claimed relate to cargo that MSC refused to carry after being requested to do so by Complainant;” that there “is no competent evidence as to when that cargo was ready to be carried, what steps Complainant took to have it carried . . . or why and how it was ultimately carried at the spot rates;” and that the “failure of proof is total.” Opposition at 4-5. MSC Mediterranean Shipping also argues that “Complainant must provide competent evidence that none of this cargo could have been shipped under contract rates with another carrier” and that MCS Industries “does not tie the invoices to specific cargoes that MSC allegedly refused to carry.” Opposition at 6. These arguments miss the mark.

MSC Mediterranean Shipping does not point to caselaw that limits actual injury to shipments that occurred in spite of the Shipping Act violation. The amended complaint states that at times, MCS Industries was forced to “forgo shipments entirely” and MCS Industries testimony establishes that if there is not sufficient space available, it may wait to send shipments. Amended Complaint at 7 ¶ 30, 8 ¶ 37, 23 ¶ 117; Opposition, Exhibit 1, Schantzenbach Depo. at 144. Under Respondent’s theory, a complainant would not recover any reparations for shipments it had to forgo. However, if a respondent agrees to ship 200 containers and only ships 50, and the respondent violated the Shipping Act by not shipping the remaining 150 containers, then the complainant should be entitled to reparations for the 150 containers not shipped. This would be true whether or not those 150 containers were ever shipped. The goal of awarding damages is to make the injured party whole. Therefore, regarding calculation methods for reparations claims that come before the Commission “[t]he method chosen depends on the evidence available and which calculation more accurately measures the actual loss.” *MAVL Capital*, 2022 WL 2209421, at *3. Nonetheless, MCS Industries did make sufficient shipments on the spot market during the timeframe and port pairs in the amended complaint, so that in this case there is concrete spot market pricing data supporting the reparations claim.

There are multiple ways to establish damages where a violation of a service contract is established. The complainant in a recent proceeding, *OJ Commerce*, presented evidence of actual injury under two alternate methodologies: lost profits and shipping rate differentials. *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*,

Docket No. 21-11, 2023 WL 3969857, at *43 (ALJ June 7, 2023). In that case, reparations were not limited to “those containers it was able to ship profitably outside of a carrier contract, through spot rates” but rather included the lost profits, or benefit, that it would have received from being able to ship its full allotment of containers under the service contract. *OJ Commerce*, 2023 WL 3969857, at *53. There, assessing injury through calculating lost profits most accurately measured OJ Commerce’s actual loss, so there was no need to consider shipping rate differentials damages in further detail. *OJ Commerce*, 2023 WL 3969857, at *56. In that case, the complainant was not able to make the planned shipments due to the Shipping Act violation, so actual costs of shipping on the spot market were not available. Here, MCS Industries was able to provide evidence of the actual additional cost it incurred by having to ship on the spot market instead of through the rates negotiated in the service contracts.

MSC Mediterranean Shipping points to the Commission statement that the “‘damages appear to depend on unspecified charges for bookings MCS says it made on certain shipping routes.’” Brief at 1 (quoting Commission Order at 28). This just required that MCS Industries establish the spot market charges with supporting evidence, as it has now done, and is not a commentary on the proper method for calculating reparations.

To the extent that MSC Mediterranean Shipping is arguing that MCS Industries would not have been able to ship the number of containers agreed to in the service contract, that argument relates to liability: whether or not the shortfall was due to a Shipping Act violation. At this stage of this proceeding, liability is not at issue and the well-pled factual allegations in the amended complaint are accepted. To the extent that Mediterranean is arguing that MCS Industries would need to tie each spot shipment to a request for MCS Industries to carry that specific shipment, Mediterranean has not provided any caselaw to support its position. To the extent that Mediterranean is arguing that shipping rate differentials are not an appropriate measure of MCS Industries’ actual injury, Mediterranean has also not provided any caselaw to support this position. MCS Industries establishes that shipping rate differentials appropriately measures their actual injury and Mediterranean’s arguments in opposition are not persuasive.

(c) Port Pairs

MSC Mediterranean Shipping does raise a legitimate issue regarding the allegations in the Amended Complainant regarding port pairs and the reparations sought. Specifically, MSC Mediterranean Shipping asserts that MCS Industries “has never alleged that MSC failed to carry contracted cargo from Fuzhou.” Opposition at 4. The amended complaint states that during the 2020 service contract, the alleged violations “were concentrated on shipments originating from Qingdao, Tianjin, and Ningbo, but not Jakarta or Fuzhou,” and for the beginning of the 2021 service contract, “Respondent provided the contracted quantity of space for shipments originating from Fuzhou” but “Respondent failed to meet its obligations with respect to Complainant’s cargo from Qingdao and Tianjin.” Amended Complaint at 18 ¶ 93.

In reviewing MCS Industries’ Exhibit 4 table, reparations are sought for shipments to Qingdao, Tianjin, Ningbo, and Jakarta, but not to Fuzhou. Brief, Exhibit 4, Column 5. Therefore, the argument about Fuzhou is a red herring. However, the amended complaint does not allege violations from the port of Jakarta. Rather, the only times Jakarta is mentioned are in the list of

ports covered by the 2020 service contract and the statement that there were no shortfalls or demand for peak season surcharges for Jakarta. Amended Complaint at 6 ¶ 25, 18 ¶ 93.

Therefore, it is not clear that shipments from Jakarta were part of the violation. Moreover, no evidence establishes that spot market rates for shipments from Jakarta properly measure the Shipping Act violations here. The Exhibit 4 table shows one shipment from Jakarta, for which it seeks \$2,738.50² in reparations. The sea waybill for this shipment confirms that it was received and loaded in Jakarta. Brief, Exhibit 6, at PEX5-0450. MCS Industries has not established that it is entitled to reparations for the shipment from Jakarta. Therefore, this shipment will be removed from the calculation of reparations. The other port pairs are supported by the evidence provided.

(d) Timing

MSC Mediterranean Shipping focuses on the timing of the shipments. For example, it argues that the December 8, 2021, order on motion to compel addressed a shorter timeframe and only two ports. However, that order was issued before MCS Industries' December 23, 2021, motion seeking leave to file an amended complaint, which was not granted until February 4, 2022. The amended complaint extended the allegations to the prior (May 2020 to April 2021) shipping year and specifically identified the ports at issue. Of course the discovery order was based on the ports and timeframe then at issue. Now, however, it is the timeframe and ports in the amended complaint that are relevant.

MSC Mediterranean Shipping also argues that MCS Industries' claims under the 2021 contract "focused heavily" on the 10-week period between May 2021 and July 8, 2021, and that MSC carried all the cargo it was contractually obligated to carry in July 2021. Opposition at 5-7. However, the amended complaint is not so limited. The amended complaint states that "[a]cross all contracted lanes, Respondent fell far short of providing 60.67 TEUs in each of May, June, and July 2021" and that in July 2021, an MSC Mediterranean Shipping employee stated that "cargo with higher rates may have priority" and that agreeing to pay the peak season surcharge, "helps with space." Amended Complaint at 8 ¶ 36 (emphasis added), 9 ¶ 43, 14-15 ¶¶ 70-71, 17 ¶ 87. At this stage, MCS Industries is not required to provide evidence of booking requests nor to provide evidence supporting the Shipping Act violations. Thus, the amended complaint clearly alleged violations in July 2021.

MSC Mediterranean Shipping also alleges that "Complainant has previously conceded there were no issues after June 2021" from Tianjin. Opposition at 5. The deposition testimony established that MCS Industries received its shipping allocation for Tianjin in July but also that it received none of its contracted shipments from Tianjin in May and only about half in June. Opposition, Exhibit 1, Schantzenbach Depo. at 112; Opposition, Exhibit 2, Master Depo. at 55. Additionally, MCS Industries was forced to "forgo shipments entirely" and wait to send other shipments. Amended Complaint at 7 ¶ 30, 8 ¶ 37, 23 ¶ 117; Opposition, Exhibit 1, Schantzenbach Depo. at 144.

² This amount is not entitled to confidential treatment. It is from the excess cost column and does not disclose the freight cost paid, service contract rate, or any other details about the shipment.

The Exhibit 4 table shows that reparations are sought from Tianjin for the 2021 service contract term for three shipments in May 2021, ten shipments in June 2021, and three shipments in July 2021. This trend is consistent with the spot market shipments trailing slightly the dates in the service contract. Moreover, the invoices in Exhibit 5 show that for the three shipments listed for July, two left Tianjin on June 29, 2021, and arrived on July 22, 2021, while the third shipment left on July 2, 2021, and arrived on August 5, 2021. Opposition, Exhibit 5 at PEX5-0693; PEX5-0695; PEX5-0701; PEX5-0702. Reparations are not sought for any subsequent shipments from Tianjin, not even in the shipments previously excluded which occurred from December 2021 to April 2022. Thus, the deposition testimony supports the requested reparations from Tianjin. Similarly, relying on spot market shipments in August 2021 is reasonable even though the violations are only established through July 31, 2021, because of delays in finding space on the spot market.

The amended complaint supports the timeframe for which reparations are sought, excluding December 2021 to April 2022. Indeed, the spot market shipments are weighted toward the earlier timeframes which may underestimate the damages as spot market rates generally increased from May 2020 to July 2021. *See* Brief, Exhibit 4. Moreover, MCS Industries has established the number of shipments it was unable to make at the service contract rates. The shipments that are used to compare costs on the spot market do not need to precisely match the timing of the denied shipments, as long as they are between the port pairs and during the timeframe (May 2020 to July 2021) alleged in the amended complaint and as long as the number of shipments for which reparations is sought does not exceed the number involved in the violation.

(e) Number of Shipments

MCS Industries is only entitled to reparations for the number of shipments it was entitled to ship in the service contracts, minus the number of shipments it carried under the service contracts. The amended complaint alleges that MSC Mediterranean Shipping provided 1101 of 1400 TEUs under the 2020 service contract, a 299-TEU shortfall. Amended Complaint at 7 ¶¶ 29-30, 24 ¶ 119. The amended complaint also alleges that MSC Mediterranean Shipping provided 59 of 182 TEUs under the first three months of the 2021 service contract, a 123-TEU shortfall. Amended Complaint at 8 ¶ 35, 24 ¶ 120. Therefore, the Amended Complaint alleges a shortfall of 299 plus 123 which equals 422 TEUs.

A TEU is a twenty-foot equivalent unit. Amended Complaint at 6 ¶ 24; Brief, Exhibits 1-3 at 1. The service contracts do not specify how different size containers should be counted. Mediterranean asserts that “TEUs are measured in whole numbers with limited exceptions for instances when the parties contractually agree to count additional space associated with the use of high cube FEUs. The contracts between the parties confirm the commitments contemplate full standard TEUs.” Opposition at 7 n.9.

The Exhibit 4 table lists the following amounts for TEUs: 1, 2, 2.25, and 2.53. At least some of the shipments listed as 2.25 TEUs were for 40-foot containers, that may have been more properly listed as 2 TEUs. *See, e.g.*, Brief, Exhibit 5 at PEX5-0057; PEX5-0363; PEX5-0718. However if so, this would only under count MCS Industries’ damages. The invoices related to the two shipments listing 2.53 TEUs show that both of these containers were 45-foot containers.

Brief, Exhibit 5 at PEX5-008, PEX6-0012. The evidence only supports finding 2.25 TEUs (2.25 times 20 equals 45) for these two shipments. For the timeframe of the amended complaint, adding the TEU column results in a sum of 422 TEUs, the shortfall alleged in the amended complaint. After removing the Jakarta shipment, the table shows reparation amounts for 419.75 TEUs. As this is less than the shortfall, this number is reasonable to support the reparations request.

(f) Conclusion

MCS Industries provides evidence of actual spot market rates it paid for shipments from the port pairs and during the timeframe of the violation alleged in the amended complaint. The only exception is the one shipment from Jakarta. Subtracting the excess cost sought for Jakarta from the \$400,509 sought for the 2020 service contract equals \$397,770.50. This amount, when added to \$463,936 for the first three months of the 2021 service contract, equals \$861,706.50. This amount can also be obtained by removing the December 2021 to April 2022 rows and the Jakarta row from the Exhibit 4 table and adding the remaining amounts in the “Excess Cost” column.

C. Calculation of Reparations and Interest

A complaint seeking reparations must be filed within three years after the claim accrues. 46 C.F.R. § 502.62(a)(4)(iii); *see also* 46 U.S.C. § 41305(b) and 46 U.S.C. § 41301(a). The initial complaint in this proceeding was filed on July 28, 2021. The amended complaint, filed on February 4, 2022, alleges violations of the 2020 service contract, which began in May 2020, well within the required three years for filing a complaint.

The Shipping Act permits reparations for actual injury and defines “actual injury” to include “the loss of interest at commercial rates compounded from the date of injury.” 46 U.S.C. § 41305(a). The Commission recently stated that “with respect to multiple shipments, the ALJ should be able to determine the reasonable date or dates of injury,” concluding that:

[I]t would not appear to be unreasonable to determine that the mid-point date of the period of all eligible shipments was the date of injury for the claim, because such a date may award [Complainant] approximately the same amount of interest as being calculated using each shipment date, by evening out the earlier and later dates of injury.

Color Brands, LLC v. AAF Logistics, Inc., Docket No. 22-18, 2024 WL 246193 at *3 (FMC Jan. 18, 2024).

The Initial Decision calculated interest from July 31, 2021, and the Commission did not address this date. The parties have not argued that a different date should apply, although MSC Mediterranean Shipping contends that the shipping shortfalls were focused on particular timeframes. *See* Opposition at 5, 10. The amended complaint alleges violations of the Shipping Act through July 31, 2021. The reparations amount “can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences.” *Tractors & Farm*, 26 S.R.R. at 798-99. Complainant has the burden of

proof and has not established that an earlier date should apply. Therefore, it is reasonable to calculate interest based on a date of injury of July 31, 2021.

As explained above, MCS Industries' declaration and exhibits, which are appropriately considered in calculating reparations in a case in which default judgment is entered, establish actual injury for the 2020 service contract of \$397,770.50 and for the first three months of the 2021 service contract of \$463,936. Adding these two time periods together, MCS Industries has established actual injury of \$861,706.50. Accordingly, MCS Industries is entitled to reparations in the amount of \$861,706.50 from MSC Mediterranean Shipping.

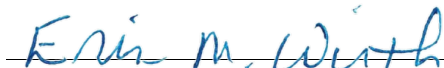
III. ORDER

Upon consideration of the record, the arguments of the parties, the findings and conclusions set forth above, in the Initial Decision, and in the Commission Order, and the default determination, it is hereby

ORDERED that Complainant's motion for confidential treatment and Respondent's motion for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that the delay sanction in the Shipping Act of 1984, 46 U.S.C. § 41302(d) provides an additional basis for the default decision with prejudice against MSC Mediterranean Shipping. It is

FURTHER ORDERED that MSC Mediterranean Shipping pay a total of \$861,706.50, plus interest from July 31, 2021, as reparations to MCS Industries.


Erin M. Wirth
Chief Administrative Law Judge